

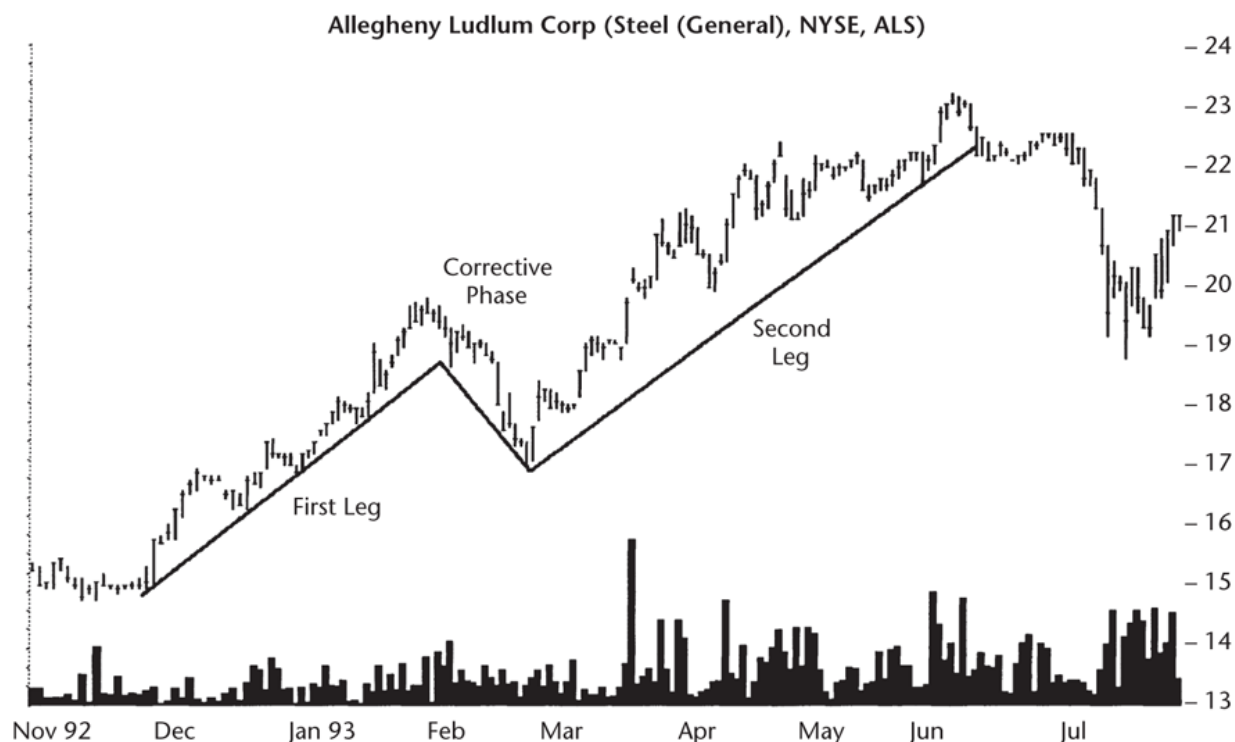


Figure 47.1 A measured move up. The second leg gain nearly matches the gain posted by the first leg.

Once the pattern completes, price sometimes returns to the corrective phase or lower. In this example, you can see that price dropped to just below the top of the corrective phase (in July) before recovering.

Identification Guidelines

Table 47.1 lists identification guidelines for this chart pattern.

Appearance. The pattern begins life by seeing the stock rise in a strong push higher. This forms the first leg, and it's often a straight-line run upward. Price retraces in the corrective phase as if pausing to rest. Then the rise resumes and forms the second leg. The rise-retrace-rise pattern becomes the measured move up.

First and second leg. Consider **Figure 47.2**. In the two legs, you're looking for a straight-line run upward. If you see a pronounced curve in the first leg, then look elsewhere for a new measured move.